

# 02 External environment

**12 primary questions** | Oldest to newest

2026 objectives: 2.2

11 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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|                                              |          |
|----------------------------------------------|----------|
| <a href="#">CA1-P2   September 2007   Q3</a> | 13 marks |
| <a href="#">CA1-P2   April 2008   Q2</a>     | 8 marks  |
| <a href="#">CA1-P2   April 2010   Q6</a>     | 16 marks |
| <a href="#">CA1-P2   April 2011   Q1</a>     | 8 marks  |
| <a href="#">CA1-P2   September 2012   Q4</a> | 17 marks |
| <a href="#">CA1-P2   April 2013   Q2</a>     | 10 marks |
| <a href="#">CA1-P2   September 2015   Q2</a> | 10 marks |
| <a href="#">CA1-P2   April 2016   Q6</a>     | 32 marks |
| <a href="#">CA1-P2   September 2016   Q6</a> | 20 marks |
| <a href="#">CP1-P2   April 2020   Q1</a>     | 53 marks |
| <a href="#">CP1-P2   April 2022   Q1</a>     | 50 marks |
| <a href="#">CP1-P2   September 2024   Q1</a> | 52 marks |

## CA1-P2 | September 2007 | Q3

Current topic | 13 marks total | Original PDF p2

Related: Ch 35.

**3** Company A is a life insurance company that is interested in setting up an operation in an overseas territory, which it believes has significant new business potential.

Company B is a life insurance company that operates only in this territory. It has just been put up for sale by its parent company.

Outline the advantages and disadvantages to Company A of purchasing Company B rather than setting up a new operation in the overseas territory. [13]

## CA1-P2 | April 2008 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 22.

- 2** An insurance company has decided to enter the market for long-term sickness insurance.

Discuss the effect of the external environment on the development of a product for this market. [8]

## CA1-P2 | April 2010 | Q6

[Current topic](#) | [16 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** An insurance company has been selling term assurance and annuities for over 25 years.

Discuss the features of the external environment that affect these two products, highlighting any significant differences. [16]

## CA1-P2 | April 2011 | Q1

Current topic | 8 marks total | Original PDF p2

Related: Ch 5.

- 1**
- (i) Outline how tax policy can be used to influence the demand for and provision of state benefits. [3]
  - (ii) Discuss ways in which a government can use the tax system to encourage individuals to make savings. [5]
- [Total 8]

## CA1-P2 | September 2012 | Q4

Mixed / scope note | 17 marks total | Original PDF p3

Includes historical project planning or appraisal material not explicitly listed in 2026. The risk, modelling and commercial applications remain relevant; keep the full question together. Related: Ch 19, Legacy: project planning and appraisal techniques.

- 4** (i) List the criteria that could be used to assess the viability of a capital project. [3]

A large, profitable life insurance company is looking to expand into new markets. At present the company sells term assurances, endowments and sickness policies. The sales director has just bought a cat and has suggested that the company enters the pet insurance market.

- (ii) Discuss the issues that should be considered before entering this new market. [10]

The company has decided to enter the pet insurance market and has developed a project plan.

- (iii) Describe the considerations the insurance company should take into account when choosing a suitable risk discount rate for the analysis of this project. [4]  
[Total 17]

## CA1-P2 | April 2013 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 30.

**2** A life insurance company is launching an enhanced annuity product. An individual will be eligible for the enhanced annuity and receive an increased income, if they can prove that they are expected to have a shorter life expectancy than the average annuitant.

(i) Outline the information which would be required to identify whether an individual is eligible for the increased income. [3]

(ii) Discuss the impact of the wider external environment in pricing this product. [7]

[Total 10]

## CA1-P2 | September 2015 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 21, Ch 23.

- 2** A new regulation is being introduced which will ban the payment of any commission in connection with all insurance contracts. This will apply both to policies bought directly from insurance companies and those bought via a third party (e.g. independent advisors).

Instead, third parties will have to charge their customers (i.e. policyholders) explicitly. This will be in the form of a fee for their services. That is, policyholders will pay a premium for their policy plus a fee to any third party.

Discuss the possible implications of this new regulation for market premiums and hence for insurance companies. [10]

**CA1-P2 | April 2016 | Q6**

Current topic | 32 marks total | Original PDF p4

Related: Ch 15, Ch 30.

- 6** (i) List factors in the external environment which impact on providers of benefits. [5]

In a developing country, an increasing number of individuals are becoming home owners. Due to the lack of maturity in the financial market the government has two concerns:

- That individuals may take out a mortgage which they cannot afford in the long term and risk losing their homes.
- That individuals are not taking out adequate property insurance due to a lack of insurance companies in the country.

To encourage individuals to address these concerns the government has set up a benefit trust. An individual is guaranteed to be able to join the benefit trust at the point they first purchase a property and will remain a member only as long as they continue to pay contributions.

Contributions payable on joining the benefit trust are to be a fixed (non-increasing) monthly amount payable from the point of house purchase until any mortgage has been fully paid off. The amount of monthly contribution is set by the Trustees on joining the benefit trust. A maximum contribution rate (expressed as a percentage of the value of the property) has been set by the government.

The benefit trust is intended to be non-profit making with the Trustees aiming to keep monthly contributions at an affordable level. To make membership of the benefit trust attractive the government is proposing that the following benefits will be provided:

- (a) Mortgage payments will be paid for a maximum of 24 months on disability or if made redundant (qualification criteria to be defined by the benefit trust).
  - (b) Property insurance and contents insurance.
  - (c) A lump sum equal to all contributions paid if the individual dies and has never made a claim under (a) or (b).
- (ii) Describe how the following factors in the external environment might impact the benefit trust: [8]
- (a) capital adequacy and solvency
  - (b) changing cultural and social trends
  - (c) risk management requirements
  - (d) state benefits
- (iii) Outline how the Trustees may attempt to match the assets and liabilities of the benefit trust. [3]
- (iv) Discuss reasons why investment in large infrastructure projects may be appropriate for the benefit trust. [7]

## CA1-P2 | April 2016 | Q6 - continued

Current topic | 32 marks total | Original PDF p5

Related: Ch 15, Ch 30.

- (v) Define “risk classification”. [2]

The government has decided that the risks being run by the benefit trust are too high. Its main concern is that the benefit trust may need additional financial support if changes are not made. However, the government also has concerns over the public perception and popularity of the benefit trust.

- (vi) Discuss how the government’s concerns could be addressed by the following risk management proposals:

- (a) Removing the maximum contribution rate.
- (b) Allowing the Trustees to change the contribution amount for existing members on an annual basis. [7]

[Total 32]

## CA1-P2 | September 2016 | Q6

[Current topic](#) | [20 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** (i) List aspects of the external environment which can have implications for the main providers of benefits on contingent future events. [5]

An insurance company has been selling a wide range of pension products across a wide range of countries for a number of years.

- (ii) Discuss how each of the aspects of the external environment can have implications for this insurance company. [15]  
[Total 20]

## CP1-P2 | April 2020 | Q1

Current topic | 53 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 14, Ch 22, Ch 24, Ch 0, Ch 28.

### 1 Background

Country B is well developed with sophisticated financial markets and financial institutions. A report has been produced by leading experts that concludes that climate change could have a material impact on financial markets and financial institutions in Country B.

The report also highlighted that to successfully manage the financial risks arising from climate change it will be necessary for all businesses in Country B to:

- make changes to governance.
- make changes to risk management.
- use scenario analysis for risk identification and assessment.

A large insurance company in Country B, NEF Insurance, sells term assurance, annuities, property insurance, motor insurance and savings products. NEF Insurance is undertaking a project to assess how climate change could impact its operations, the investments it holds, and the products it sells to help determine any appropriate actions it should take.

NEF Insurance invests in a wide range of investments including equities, property, government and corporate bonds, loans secured on commercial property and loans secured on infrastructure.

The government of Country B has committed to an internationally agreed target of keeping global average temperature rise since pre-industrial times below 2°C. The government has, to date, announced three policy measures directed at reducing greenhouse gas emissions. These measures will affect people and businesses. These policy measures are:

- requirements to improve the energy efficiency of commercial properties starting in 3 years. The minimum standards will be progressively strengthened over the following 10 years. Financial penalties and restrictions on use of properties will apply if the minimum standards are not met.
- requirements for organisations to hold permits at least equal to the quantity of greenhouse gas emissions it actually emitted. To avoid financial penalties an organisation will need to purchase sufficient permits. The government will reduce the number of permits each year and introduce an emission trading system allowing organisations to buy and sell permits.
- the sale of new petrol and diesel cars will be banned in 20 years.

The board of NEF Insurance believe that the government's policy measures will have a wide-ranging impact on all aspects of their business.

**CP1-P2 | April 2020 | Q1 - continued**

Current topic | 53 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 14, Ch 22, Ch 24, Ch 0, Ch 28.

**Questions**

- (i) Outline the factors that would impact the preference of investors for a particular asset class. [5]
- (ii) Discuss ways that the investments of NEF Insurance could be affected by climate change. [6]
- (iii) Describe the changes an insurance company may need to make to each of the following in response to climate change risks:
  - (a) governance
  - (b) risk management. [6]
- (iv) Discuss how climate change might affect NEF Insurance's business including its operations, the investments it holds and the products it sells. [10]
- (v) Discuss how the actuarial control cycle can be used to assist companies preparing for climate change. [6]
- (vi) Assess, for each of the government's policy measures, how that measure is expected to affect NEF Insurance. [10]

NEF Insurance has committed to undertaking the scenario analysis as recommended by the experts' report.

- (vii) Outline the non-financial risks that NEF Insurance should consider in their scenario analysis. [6]

A credit rating agency is making changes to its rating methodology for companies in Country B. It is proposing amending its rating methodology to include allowance for environmental, social and governance risks. A credit rating given by a credit rating agency is an indication of credit worthiness.

- (viii) Explain why a credit rating agency is making changes to its rating methodology. [4]

[Total 53]

**CP1-P2 | April 2022 | Q1**

Current topic | 50 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 27, Ch 18, Ch 30, Ch 35.

**1 Background**

TT Insurance is an insurance company, owned and established by four individuals, and based solely in Country A. TT Insurance specialises in travel insurance and sells no other types of insurance. TT Insurance heavily markets its products via social media. TT Insurance currently only sells a simple travel insurance product. TT Insurance's marketing strategy focuses on the simple product and it aims to make it as easy as possible for customers to buy this product.

TT's travel insurance product only provides the following cover:

- medical expenses if the policyholder becomes ill when abroad
- repatriation expenses for medical reasons.

TT's travel insurance is only available to customers aged under 65, with no pre-existing medical conditions.

The government of Country A is planning to introduce legislation making it illegal to ask potential customers for information relating to pre-existing medical conditions when applying for insurance products. Certain strictly defined forms of insurance will be exempt but travel insurance is not expected to be among them.

There are no regulations or legislation relating to Environmental, Social and Governance (ESG) considerations in Country A. However, investors in Country A generally expect well-run companies to have high ESG standards and practices in place. The government of Country A is considering introducing regulation to make ESG reporting a requirement for all companies, with the possibility of stronger requirements in future if considered necessary.

**Questions**

- (i) Discuss why TT may have decided to only offer this single product. [10]
  - (ii) Discuss how the change in legislation limiting the questions that may be asked will affect TT's business. [8]
  - (iii) Suggest the data issues that may arise for TT as a result of this change in legislation. [6]
  - (iv) Describe two low-likelihood high-impact risks for TT's travel insurance. [4]
  - (v) Discuss how the risks outlined in part (iv) could be managed or mitigated. [5]
  - (vi) Describe how ESG considerations could impact insurance companies. [7]
  - (vii) Suggest how any changes to ESG regulation could impact TT's business. [5]
  - (viii) Suggest how TT could raise additional capital if needed. [5]
- [Total 50]

**CP1-P2 | September 2024 | Q1**

Current topic | 52 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 22, Ch 3, Ch 18, Ch 31.

- 1** A large proprietary insurance company sells a wide range of life and general insurance products. The company started as a small specialist life insurance company but has since grown significantly. Growth has been partly due to its own successes and partly due to acquiring other insurance companies.

The company is looking for new ways to expand, including launching a new insurance product. The new product must be innovative, both in terms of product design and customer experience, to gain a significant competitive advantage. An initial investigation carried out by the company has indicated that the new product should be launched and operated through a new specialist subsidiary with a different trading name that the company would set up.

The company is now in discussions with the local insurance regulator to launch the new specialist subsidiary.

There have been some complaints made by customers. The complaints refer to the poor quality of the data that the company holds and its data security. A recent article in the press has highlighted these complaints made by the customers.

The regulator has written to the company asking for the company's response to the complaints about the company's poor data quality and security.

The regulator has indicated that it is considering not authorising the new insurance product or the establishment of the new specialist subsidiary until it is satisfied with the response on the poor data quality and security issue.

As part of an initial investigation, the company has reviewed the policy type held by the customers that have made the complaints, a single unit life product called 'SUL'. By comparing the customer's annual statements from this year and last year, the company has identified a significant error in the customer's fund value.

- (i) Discuss why the company wishes to expand. [10]
- (ii) Suggest possible actions the company could take to gain a significant competitive advantage in offering the new insurance product. [10]
- (iii) Discuss the possible advantages of using a new subsidiary to launch the new product. [7]
- (iv) Discuss the factors the regulator should consider before deciding to take action against the insurance company. [6]

The company is investigating the possible causes of the errors in the fund value shown in the customer's annual statements.

- (v) Set out the steps the insurer could take when carrying out their investigation. [6]
  - (vi) Describe various checks that the company could perform to determine if the latest unit reserves on its SUL policies are correct. [13]
- [Total 52]